Udyam Registration Composite Criteria and Classification Master Guidelines

Issuing Authority: Ministry of Micro, Small and Medium Enterprises, Govt. of India

1. Composite Criteria for MSME Classification

Under Gazette Notification S.O. 2119(E), enterprises are classified into Micro, Small, and Medium using composite investment and turnover thresholds:

• Micro: Investment in Plant & Machinery <= Rs. 1 Crore AND Turnover <= Rs. 5 Crore.

• Small: Investment <= Rs. 10 Crore AND Turnover <= Rs. 50 Crore.

• Medium: Investment <= Rs. 50 Crore AND Turnover <= Rs. 250 Crore.

Both criteria must be satisfied for a lower bracket; exceeding either ceiling promotes the unit to the next category.

2. Mandatory Exclusion of Exports from Turnover

In turnover calculations, export of goods or services or both is strictly excluded from aggregate turnover. This prevents export-oriented micro and small units from losing MSME status, encouraging small businesses to export globally while retaining domestic MSME subsidies.

3. Calculation of Investment in Plant and Machinery

Investment calculations are directly linked to the Income Tax Return (ITR) filed for previous years. Only the Written Down Value (WDV) at the end of the year is counted, strictly excluding land, building, furniture, and pollution control equipment.

4. Auto-Verification and Lifetime Validity

The Udyam Registration Certificate is paperless, 100% free, and valid for the lifetime of the enterprise. The portal auto-syncs annually with Income Tax and GSTN systems, automatically adjusting classification thresholds without manual re-application.